

1-C:

From the given information, we can conclude that there is fund allocation of government funds from high income regions to low income regions. This explains the important concept of the economic problem that is opportunity cost. Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process. Therefore this makes option C correct.

Why not other options?

A-diseconomies of scale occurs when the ATC of firms rises that shifts the ATC upwards.

B-market forces means when $d=s$

D-specialisation means focusing on specific tasks to gain competitive advantage

2-A:

Aircraft is one of the capital as a four factor of production, alongside land, labor, and entrepreneurship. It refers to the man-made goods used in the production of other goods and services. Thus this matched with its column, making it correct.

Why not other options?

B-airline owners—enterprise

C-computer networks—capital

D-pilots—labour

3-D:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

From the given diagram, we can see that PPC moves outwards from PPC1 to PPC2 only from the side of onions.

An increase in the training and greater use of technology of onion workers will increase the potential of onions and thus ppc outwards.

Why not other options?

A- change 1: this will not cause shifts it only cause movement towards ppc

change 2 : from the diagram we can see that there is no change in output if sweet potatoes

B- change 1 : change in price will not cause shift as shown

change 2 : this factor will also not cause shifts in ppc

C- change 1 : no change in output of sweet potatoes

change 2: this will increase the demand for onions not cause shift in ppc

4-C:



Yes, this is because, in this system there is less wastage and quick decision making.

Why not other options?

- A- an inequality will increase in this system and this can't be motive of the government
- B- the control of the government would reduce in this system
- D- market system will not consider the external cost as they over produce the demerit goods

5-C:

The first diagram shows the linear graph having a different value of PED along the demand curve and explains the relationship between the price and quantity demanded. While the other diagram should be divided into two sections. The upper section or upper demand curve that is steeper could be identified as an inelastic demand curve. On the other hand, the lower half section of the demand curve could be identified as perfectly inelastic. When we combine the linear, steeper and vertical curves together, the PED is higher at the linear demand curve and when we add it with inelastic, the curve becomes flatter as it is shown in option C. Also at the lower linear line of the demand curve, the PED is inelastic and when we add it with perfectly inelastic, it becomes an inelastic curve as shown in the option C diagram on a lower curve.

Why not other options?

- A- the only linear line could not be possible
- B- the other lower half section of diagram say about the perfectly elastic that is not the case given
- D- upper half of the diagram is first steeper or inelastic and lower half of the diagram is flatter or elastic that is other way round

6-A:

To buy more food, the demand for goods will increase as they have to stay at home. As a result, the demand will shift from D1 to D2.

In addition, the air pollution will lead to destruction of the food supply chains. As a result, the supply will fall and there will be a backward shift to S3. This will make option A the correct choice.

7-B:

PED is defined as the percentage change in quantity supplied divided by the percentage change in price.

DETERMINANTS OF PRICE ELASTICITY OF SUPPLY

	ELASTIC	INELASTIC
FACTOR AVAILABILITY	high	low
FACTOR SUBSTITUTION	high	low
STOCK LEVELS	high	low
CAPACITY	spare	full
TIME FRAME	longer	shorter

Why not other options?

Other options are the determinant of the PED

8-C:

Market failure occurs when a freely functioning market fails to allocate resources from the society's point of view.

Merit goods, such as education and healthcare, often lead to market failure because they are under-consumed and under-provided in a free market. This is primarily due to positive externalities, where the benefits to society are greater than the benefits to the individual consumer. Individuals may not fully consider these positive impacts when making consumption decisions, leading to under-consumption and a misallocation of resources.

Why not other options?

A- consumers lack information

B- market always clears the disequilibrium

D- resource allocation are on the basis of demand and supply

9-B:

No—Central banks do not support the growth of the firms as they are the lender of last resort to the commercial banks and the government only, not the firms.

Yes—Commercial banks provide loans to the firms and private individuals with the profit motive.

No—The government also does not support the growth of the firms, as such growth would result in the formation of the monopolies bodies.

10-B:

Paper money is fragile—it can be destroyed much easier than coins—but what concerns a lot of people is that it can also be issued without any backing. If a nation needs more of it, it only has to print more, and that can lead to hyperinflation and economic disaster. Therefore the coins are more durable than the paper notes and makes option B correct.

Why not other options?

Option A,C and D are the advantages of the paper notes not the coins.

11-D:

Low income people would have a smaller percentage of the savings as they usually earned a small percentage of income and the higher percentage of the income spent on the consumption of necessities goods. This leads to fewer savings percentage ratios of income to be saved.

Why not other options?

A-High income groups borrow more than low income groups as to increase the returns on their investments

B-High income groups saves more as their high earnings leads to fewer percentage to be spent on the necessities and thus saves more than low income groups

C-No, low income groups find it difficult to borrow due lack of collateral securities

12-D:

Gross Income. Net Pay. Pre-tax income, also known as pre-tax earnings, represents a company's or individual's net income before subtracting any income taxes. Gross income pay should be **lower** as it increases the income of a musician.

In addition, after tax income should be **higher** as it will increase the disposable income of a musician.

Further, the cost of living should be **lower** as it reduces the expense of living

13-D:

Real income refers to the amount of goods and services that can be purchased with a given amount of money, taking into account the effects of inflation.

Option D represents real wages that have fallen.

Real wage%= nominal wage% - inflation%

Why not other options?

A- this will affect the disposable income

- B- nominal wage would fall
- C- unrelated to the loss in real income

14-A:

A firm could be recognised as a small firm as its aim is to provide for customers specific services. Also labour intensive could be cheaper and easier to meet customer demand more quickly than changing machines designs and other equipment. That results in higher customer satisfaction.

Why not other options?

- B- production cost is higher or not depends on the product specifications
- C- this will result in more towards capital intensive, to make process more flexible
- D- if it is worse, than more capital intensive increases

15-C:

Two or more companies in the same industry and offering similar products or services combine known as horizontal merger.

C could be reason as oil drilling firm will operate on a large scale and thus ATC will fall achieving external economies of scale

Why not other options?

- A- for this it required the vertical backward integration
- B- for this it required the vertical forward integration
- D- no information given, also if firm grows, the profits increases also the taxes increase

16-D:

government budget, forecast by a government of its expenditures and revenues for a specific period of time. Budget deficit occurs when the government spending exceeds the government tax revenues.

Why not other options?

- A- this would lead increase the tax revenue and thus budget surplus
- B- related to balance of trade surplus
- C- unrelated

17-C:



Fiscal Policy

[ˈfi-skəl ˈpä-lə-sē]

The use of government spending and tax policies to influence economic conditions, especially macroeconomic conditions.

Why not other options?

- A- monetary policy tool
- B- supply side policy tool
- D- monetary policy tool

18-C:

Inflation is the rate of increase in prices over a given period of time.

When there is a decrease in money supply, this will lead to an increase in the interest rates.

A higher interest rate encourages savings and discourages borrowing. This will reduce spending and investment. Thus AD will start to fall, leading to a fall in the rate of inflation.

Why not other options?

A- a fall in income tax will increase the consumption and spending and this will contribute to an increase in inflation rate.

B- a fall in exchange rate will lead to depreciation and exports prices will fall and contribute to the rise in the export revenue. On the other hand, import prices will increase and imports expenditure fall. As a whole, the trade surplus increased the AD and leads to high inflation rate

D- a fall in interest rates will reduce the savings and increase the investment. This leads to increase the AD and inflation rate

19-B:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Spending on education will increase the productive potential of an economy and thus contribute to economic growth.

Why not other options?

A- increasing interest rate will reduce consumption and investment. This will reduce AD and fall in output.

C- fewer hours, low output

D- reducing expenditure in infrastructure will increase the cost and thus output will fall

20-A:

GDP represents the sum of the market values of all final goods and services produced.

Why not other options?

B- inflation

C- budget

D- unemployment

21-B:

The unemployment rate is a key economic indicator that reflects the percentage of the labor force that is jobless and actively seeking employment. It's calculated by dividing the number of unemployed individuals by the total labor force and multiplying by 100.

If unemployment is rising, the government needs to increase the unemployment benefits.

This will contribute to the budget deficit as tax revenues will be falling due to low income while expenditure is rising, contributing to the deficit

Why not other options?

A- high unemployment means low income and falling AD so output is also decreasing

C- there would be lower self stem due to high surplus of labours being idle and jobless in a market

D- high unemployment lead to low consumption, this leads to falling AD, that further leads to lower prices and decreasing inflation rate

22-A:

Deflation is a decrease in the general price level of goods and services.

Deflation leads to higher unemployment and lower spending in an economy. The nature of an economy becomes pessimistic. Therefore it lead to low confidence of investors

Why not other options?

All the other options mentioned would increase in the time of deflation.

23-B:

Governments provide public goods because the private sector often lacks the incentive or ability to do so efficiently, particularly when goods are non-excludable and non-rivalrous.

Public goods like national defense, clean air, and lighthouses benefit everyone, but private firms may not find it profitable to provide them due to the difficulty of charging individuals for their use or preventing non-payers from benefiting.

24-D:

Real income= Nominal% - Inflation%

UK= +6.5-(-2.0)=+8.5

Why not other options?

- A- +3.0
- B- 0
- C- +5.0

25-D:

To improve the living standard, the indirect tax should be relieved as it takes a greater proportion of the poor's income. Also, the spending on education and healthcare should increase as it raises the standard of living. Further, The personal allowance means that you can have a certain amount of taxable income each year without paying tax. Therefore it should be increased to improve the standard of living.

26-A:

Net migration is the difference between the number of persons who enter a territory (immigrants) and the number who leave (emigrants), generally calculated over a year. The labour force would increase and this leads to an increase in the potential of an economy.

Why not other options?

- B- not necessarily
- C- more labour and higher economic growth
- D- demand for housing will increase as more people will be coming in

27-A:

$$280-350+110-60-40=-60$$

This makes option B correct one

28-C:

Insurance is a service so record in trades in service.

While the Vietnamese are buying from the US, payments are being made and outflow of currency. This leads to debit in the balance of payments.

29-A:

tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries

Therefore imports will restrict the choice of consumers

Why not other options?

- B- benefit to producers as they will switch of demand from import to domestic
- C- government also receive the tax revenue from the tariffs
- D- the demand for cars in country X will increase also increasing the demand for labour further

30-D:

A multinational corporation (MNC) is usually a large corporation incorporated in one country that produces or sells goods or services in various countries.

Option D regard as a disadvantage to the home country

Why not other options?

- A-this will affect the host country
- B- this will affect the host country
- C- benefit to the home country